

effect, hedging is a transfer of risk without buying insurance policies.

Hedging employs various techniques but, basically, involves taking equal and opposite positions in two different markets (such as cash and futures markets). Hedging is used also in protecting one's capital against effects of inflation through investing in high-yield financial instruments (bonds, notes, shares), real estate, or precious metals.

Hedging is process in which we can insure your stock by various method

for example if you have buy 100 stock of SBI at the market rate that 2000 rs the total money you paid is

200000 rs .If there is any big event in that month and the price can move other way so you can buy a put option of 1900 at the rate of 25 rs if the if the stock fell to 1775 then your lose in the cash market will

*2000-1800=225*100=22500 rs but you have buy put option as the stock fall below 1900 so the price*

will rise to 225 so net profit will be

*225-25=200*125=25000-2500(margin)=22500 rs*

so you lost 22500 rs in cash market but gain 22500 rs in put option that mean you do not loss any money this process is call as hedging that protect or insure your money